The Stabilization of the Rupee

The Commission observed that the time had come to stabilize the rupee at a certain parity since as 'long as no parity is fixed there must be uncertainty as to the future of exchange and a consequent lack of confidence.'[26] It pointed out that the statutory value fixed in 1920 at 2s was absolutely ineffective and the government had decided not to regain it. The market rate was 1s 6d which it had been in relation to gold since June 1925 and in relation to sterling since October 1924. This was the rate at which the Commission wanted the rupee to be stabilized in relation to gold. It outlined the reasons for this recommendation, the chief of which was the conviction that the prices in India had attained a substantial adjustment to this rate and any change would result in economic disturbance. The same applied to wages and while conceding that the prices of agricultural produce were at a lower level in relation to manufactured goods, it observed that this was a loss which India shared with all other agricultural countries and which could not be made good by monetary policy. The Commission concluded 'that from the point of view of contracts as well as that of prices and wages, the least disturbance will be caused, and the least injury will be done to all the interests concerned, by adhering to the *de facto* rate.'[27]

The Commission also pointed out that the 1s 6d rate would benefit the consumer by making imports cheaper and benefit the wage earners by raising the real income. With regard to the latter it observed that the adoption of a 1s 4d rate would result in an arbitrary reduction of the real wages of labour. It saw no justification in equity or expediency for the infliction of such a hardship in the interests of the classes directly affected, or on the community as a whole.[28] Regarding the impact on government finances it argued that a 1s 6d rate reduced the burden of India's sterling obligations and eased the revenue position of the government, enabling it to meet the necessary remittance without additional taxation. It concluded that given the aforementioned, the 1s 6d rate was the appropriate one and the opportunity for reversion to the historic rate, if it ever existed, was now gone.

Purshotamdas's advocacy of the 1s 4d rate was well-known and he never failed to put forward his point of view to both his colleagues on the Commission and in his examination of witnesses. He realized that a rising